

steal, demand more shares. The buying pressure turns the decline around and price starts rising—quickly at first but more slowly as additional investors become willing to sell their shares.

When the stock hits 18.50 again on 16 June, your fund sells more shares, effectively halting the advance. The stock struggles at that level for 3 days. Again, the selling pressure forces price down, and it crosses to the other side of the now-forming ascending triangle. Price rebounds one last time and hits the sell zone and stays there for about a week before being turned away by excess supply. A call from the trading department confirms they sold the entire position.

Without an overhanging supply to halt the stock's rise, price gaps up on increasing demand and soars to 19.25. Your fund is out of the picture, but the forces of supply and demand are not finished with the stock. Others still selling their shares force the stock back down into the triangle. Price races to the other side of the triangle, rebounds off the lower trendline, and marches out the top.

If I had to sum up the price action of an ascending triangle, I would say it forms because of a supply of shares available at a fixed price. Once the supply depletes, shares quickly break out of the triangle and move higher. If demand continues to be strong, price rises. Otherwise, the stock collapses back on itself and either regroups for another try or continues down.

Identification Guidelines

Finding an ascending triangle in a chart of daily price data is simple, perhaps too simple. I read a tutorial in a popular magazine in which nearly half the illustrations purporting to be triangles were identified incorrectly.

If you have any doubt about the validity of a chart pattern, others may share those doubts. If others do not see the same shapes you do, the pattern may not work as well as you expect. Under those circumstances, where there is some doubt about correct identification, do not trade the chart pattern. Save your money for a trade where you are sure the pattern is valid. I discuss identification problems later in this section. For now, [Table 64.1](#) lists ascending triangle characteristics.